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ORGANISATIONAL CHANGE AND DEVELOPMENT OF THE BANKING SECTOR IN INDIA

BACHELOR OF

TECHNOLOGY

IN

COMPUTER SCIENCE AND ENGINEERING

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CASE STUDY: ORGANISATIONAL CHANGE AND DEVELOPMENT IN THE BANKING SECTOR IN INDIA

Introduction

Organisational Change and Development refers to the process of modifying an organisation's structure, technology, policies, working methods, and employee practices to improve its performance and achieve long-term growth.

The banking sector in India has experienced significant organisational changes due to technological advancements, increasing customer expectations, government policies, competition, and digital transformation.

Earlier, most banking activities were performed manually through physical branches, paperwork, and face-to-face interactions. However, with the development of technology, banks have shifted towards internet banking, mobile banking, UPI payments, ATMs, digital transactions, and automated customer services.

Case Study: State Bank of India (SBI)

State Bank of India (SBI) is one of the largest public sector banks in India. It has undergone major organisational changes to improve customer services, operational efficiency, employee performance, and technological capabilities.

Some important changes include:

- Introduction of digital banking services through the YONO application.
- Merger of five associate banks with SBI in 2017.
- Adoption of modern banking technologies and automation.
- Employee training and digital skill development.
- Improvement in customer service and financial inclusion.

These changes helped SBI transform its traditional banking operations into a more modern, technology-driven banking organisation.

Features of Organisational Change and Development Highlighted

1. Continuous Change

Meaning: Organisational change is a continuous process in which organisations regularly update their working methods according to changing conditions.

Example: SBI continuously improves its digital banking services and introduces new features to meet changing customer requirements.

2. Planned Change

Meaning: Planned change refers to changes introduced systematically to achieve specific organisational goals.

Example: SBI's merger with five associate banks in 2017 was a planned organisational restructuring aimed at improving operational efficiency and expanding its banking network.

SBI Bank+1

3. Technology-Driven Change

Meaning: Organisations adopt modern technologies to improve productivity, efficiency, and service delivery.

Example: SBI introduced digital banking facilities such as YONO, internet banking, mobile banking, and UPI-related services to reduce dependence on traditional banking methods.

4. Employee-Oriented Development

Meaning: Organisational development focuses on improving employee knowledge, skills, performance, and adaptability.

Example: SBI conducts employee training, digital upskilling, and leadership development programmes to prepare employees for modern banking requirements.

5. Customer-Centric Development

Meaning: Organisations make changes to improve customer satisfaction and provide better services.

Example: SBI introduced convenient digital banking facilities that allow customers to perform various banking transactions without visiting branches.

6. Dynamic Nature

Meaning: Organisational change is dynamic because organisations must continuously adapt to new technologies, competition, and market conditions.

Example: SBI continues to upgrade its banking platforms and services to meet the changing needs of customers in India's digital economy.

Problems Faced by the Banking Sector in India

The Indian banking sector faced several challenges due to changes in technology, customer expectations, competition, and organisational requirements.

1. **Traditional Banking Methods:** Earlier, banking activities depended heavily on paperwork and manual processes, resulting in delays and increased workload.

2. **Increasing Customer Expectations:** Customers started expecting faster transactions, 24/7 banking facilities, online services, and immediate responses to their queries.

3. **Technological Challenges:** Banks faced difficulties in upgrading their existing systems and adopting modern technologies while maintaining security and reliability.

4. **Employee Resistance to Change:** Some employees found it difficult to adapt to new digital systems, software applications, and modern working methods.

5. **Increasing Competition:** Private banks and digital payment platforms increased competition by offering faster and more convenient banking services.

6. **Organisational Restructuring:** Merging different banks created challenges related to employee coordination, management, operational systems, and organisational culture.

These challenges made organisational change and development necessary for improving the performance and sustainability of the Indian banking sector.





Solutions Adopted to Overcome the Problems

To overcome these challenges, SBI adopted several organisational change and development strategies.

1. Introduction of Digital Banking

SBI introduced digital banking services such as YONO, internet banking, mobile banking, and UPI-related facilities. These services help customers perform banking transactions conveniently without visiting branches.

2. Merger and Organisational Restructuring

In 2017, SBI merged five associate banks and Bharatiya Mahila Bank with itself. This helped expand its network, combine resources, improve operational efficiency, and strengthen its position in the banking sector.

SBI Bank+1

3. Employee Training and Development

SBI focused on employee training, digital skill development, and leadership programmes. These initiatives help employees understand modern technologies and perform their responsibilities more effectively.

4. Adoption of Modern Technologies

SBI adopted advanced digital technologies, automation, data analytics, and improved banking platforms to simplify operations, reduce manual work, and improve service delivery.

5. Improvement in Customer Services

SBI enhanced customer convenience through mobile banking, online services, WhatsApp banking, and digital customer support facilities.

6. Strengthening Security and Risk Management

SBI focused on information security, cybersecurity awareness, monitoring systems, and risk management practices to protect customer information and maintain trust in digital banking. State Bank of India+1



Role / Work of Organisational Change and Development

1. Improves Organisational Efficiency

Organisational change helps banks improve their working methods, reduce unnecessary procedures, and complete banking activities more efficiently.

2. Encourages Technological Development

It motivates banks to adopt modern technologies such as mobile banking, artificial intelligence, automation, and digital payment systems.

3. Improves Employee Performance

Employee training and development programmes improve employees' technical knowledge, communication skills, productivity, and ability to handle new responsibilities.

4. Enhances Customer Satisfaction

Organisational development helps banks provide faster, more convenient, and reliable services, thereby improving customer satisfaction.

5. Supports Growth and Expansion

Changes in organisational structure and banking operations help banks expand their services, reach more customers, and compete effectively in the financial market.

6. Builds Adaptability

Organisational change enables banks to respond effectively to technological advancements, government regulations, market competition, and changing customer needs.

Advantages of Organisational Change and Development in the Banking Sector

1. Improved Customer Experience

Digital banking and online services allow customers to access banking facilities anytime and from anywhere.

2. Increased Operational Efficiency

Automation and digital technologies reduce paperwork, manual errors, processing time, and operational costs.

3. Better Employee Skills

Training and development programmes improve employee knowledge and prepare them to work with modern banking technologies.

4. Increased Competitiveness

Banks that adopt new technologies and improve their services can compete effectively with private banks and digital financial platforms.

5. Greater Financial Inclusion

Digital banking and banking access through business correspondents help extend financial services to rural and underserved communities. **6. Improved Security and Transparency**

Modern security systems, digital monitoring, and improved banking procedures help protect financial transactions and customer information.

7. Long-Term Organisational Growth

Continuous improvement in technology, employee capabilities, and customer services helps banks achieve sustainable development and long-term success.

Conclusion

In conclusion, the case study of State Bank of India highlights the importance of organisational change and development in the Indian banking sector. The banking industry initially depended on traditional methods of operation, but technological advancements, increasing competition, and changing customer expectations created a need for transformation.

SBI successfully adopted various organisational changes, including digital banking services, technological advancements, employee training, and organisational restructuring through

mergers. These initiatives helped improve operational efficiency, customer convenience, employee capabilities, and the overall performance of the bank.

The introduction of digital platforms such as YONO demonstrates how traditional banking operations can be transformed into modern digital services. SBI's employee development initiatives also highlight the importance of preparing the workforce to adapt to organisational changes.

Overall, this case study demonstrates that organisational change and development are essential for the growth, competitiveness, and long-term sustainability of the Indian banking sector. Banks that continuously adapt to technological, economic, and customer-related changes can achieve better performance and provide improved banking services.